COMPARISON OF IFRS WITH ALTERNATIVE FINANCIAL REPORTING SYSTEMS

Learning Outcome

- describe implications for financial analysis of alternative financial reporting systems and the importance of monitoring developments in financial reporting standards

The adoption of IFRS as the required financial reporting standard by most countries outside the United States has advanced the goal of global convergence. Nevertheless, there are still significant differences in financial reporting in the global capital markets. Arguably, the most critical are the differences that exist between IFRS and US GAAP as a significant number of the world's listed companies use one of these two reporting standards.

In general, the IASB and FASB work together to coordinate changes to accounting standards and reduce differences between the standards. While convergence of conceptual frameworks and existing standards was put on hold in the late 2000s, new accounting standards have been mostly or entirely converged, resulting in increasing uniformity over time as major new standards have been adopted (e.g., revenue recognition, leasing, credit losses). Maintaining convergence on new standards remains a priority of both standard-setting bodies. Later modules provide a more detailed review of related differences in IFRS and US GAAP, though some major differences are outlined in Exhibit 6.

Exhibit 6:

Selected Major Differences between IFRS and US GAAP

Basis for Comparison	US GAAP	IFRS
Developed by	Financial Accounting Standards Board (FASB)	International Accounting Standards Board (IASB)
Based on	Rules	Principles
Interest paid	Cash Flows from Operating Activities	Cash Flows from Financing Activities *or* Cash Flows from Operating Activities
Inventory valuation	First in, First out (FIFO); Last in, First out (LIFO); and Weighted Average Method	FIFO and Weighted Average Method
Development cost	Treated as an expense	Capitalized, only if certain conditions are satisfied
Reversal of Inventory Write-down	Prohibited	Permissible, if specified conditions are met

Because reconciliation disclosures between IFRS and US GAAP are not required, an analyst comparing two companies that use different reporting standards must be aware of areas in which accounting standards have not converged. In many cases, a user of financial statements prepared under different accounting standards does not have enough information to make the specific adjustments required to achieve comparability. Instead, an analyst must maintain caution in interpreting comparative financial measures produced under different accounting standards and monitor significant developments in financial

Analysts need to monitor ongoing developments in financial reporting and assess their implications for security analysis and valuation. The need to monitor developments in financial reporting standards does not mean that analysts should be accountants. An accountant monitors these developments from a preparer's perspective; an analyst needs to monitor them from a user's perspective. More specifically, analysts need to know how these developments will affect financial reports.

Analysts can remain aware of developments in financial reporting standards by monitoring new products or transactions, actions of standard setters and other groups representing users of financial statements (such as CFA Institute), and company disclosures regarding critical accounting policies and estimates.

New Products or Types of Transactions

New products and new types of transactions can have unusual or unique elements to them such that no explicit guidance in the financial reporting standards exists. New products or transactions typically arise from economic events, such as new businesses (e.g., fintech), or from a newly developed financial instrument or financial structure (e.g. cryptocurrencies and other digital assets). Financial instruments, whether exchange traded or not, are typically designed to enhance a company's business or to mitigate inherent risks. At times, however, financial instruments or structured transactions have been developed primarily for purposes of financial report "window dressing."

Although companies might discuss new products and transactions in their financial reports, the analyst can also monitor business journals and the capital markets to identify such items. Additionally, when one company in an industry develops a new product or transaction, other companies in the industry often do the same. Once new products, financial instruments, or structured transactions are identified, it is helpful to gain an understanding of the business purpose. If necessary, an analyst can obtain further information from a company's management, which should be able to describe the economic purpose, the financial statement reporting, significant estimates, judgments applied in determining the reporting, and future cash flow implications for these items.

Evolving Standards and the Role of CFA Institute

The actions of standard setters and regulators are unlikely to be helpful in identifying new products and transactions, given the lag between new product development and regulatory action. Monitoring the actions of these authorities is nonetheless important for another reason: Changes in regulations can affect companies' financial reports and, thus, valuations. This is particularly true if the financial reporting standards change to require more explicit identification of matters affecting asset/liability valuation or financial performance. For example, one regulatory change required companies to include a provision for expenses associated with the grant and vesting of employee stock option grants as an expense in the income statement. Prior to the required expensing, an analyst could assess the dilutive effect to shareholders associated with stock option grants only by reviewing information disclosed in the notes to the financial statements.

To the extent that some market participants do not examine financial statement details and thus ignore some items when valuing a company's securities, more explicit identification could affect the value of the company's securities. Additionally, it is plausible to believe that management is more attentive to and rigorous in any calculations/estimates of items that appear in the financial statements, compared with items that are disclosed only in the notes.

The IASB (www.iasb.org) and FASB (www.fasb.org) provide a great deal of information on their websites regarding new standards and proposals for future changes in standards. In addition, the IASB and FASB seek input from the financial analyst community—those who regularly use financial statements in making investment and credit decisions. When a new standard is proposed, an exposure draft is made available and users of financial

members of CFA Institute serve on several liaison committees that meet regularly to make recommendations to the IASB and FASB on proposed standards and to draft comment letters and position papers. The comment letters and position papers of these groups on financial reporting issues are available at www.cfainstitute.org/advocacy.

In 2007, CFA Institute issued a position paper titled *A Comprehensive Business Reporting Model: Financial Reporting for Investors*, which provides a suggested model for significantly improving financial reporting. The position paper remains relevant in stating:

> *Corporate financial statements and their related disclosures are fundamental to sound investment decision making. The well-being of the world's financial markets, and of the millions of investors who entrust their financial present and future to those markets, depends directly on the information financial statements and disclosures provide. Consequently, the quality of the information drives global financial markets. The quality, in turn, depends directly on the principles and standards managers apply when recognizing and measuring the economic activities and events affecting their companies' operations. …*
>
> *Investors require timeliness, transparency, comparability, and consistency in financial reporting. Investors have a preference for decision relevance over reliability … "analysts need to know economic reality—what is really going on—to the greatest extent it can be depicted by accounting numbers." Corporate financial statements that fail to reflect this economic reality undermine the investment decision-making process.*[11]

Among other principles, the proposed model stresses the importance of information regarding the current fair value of assets and liabilities, of neutrality in financial reporting, and of providing detailed information on cash flows to investors through the choice of the so-called direct format for the cash flow statement.

In summary, analysts can improve their investment decision making by keeping current on financial reporting standards. In addition, analysts can contribute to improving financial reporting by sharing their perspective as users with standard-setting bodies, which typically invite comments concerning proposed changes.

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